Corporate Finance (in lingua inglese) - A. Y. 2025/2026
Topic 6: Return, risk, diversification, and portfolio selection

1. How do you estimate the return of a portfolio of securities?

2. Is the risk of a portfolio of stocks equal to the weighted average of the risk of the stocks included in it? Why?

3. Clarify the concept of covariance and correlation (coefficient).

4. Create a matrix for calculating the variance of a 3-stock portfolio.

5. Explain and give examples of specific and systematic risks. Are both diversifiable?

6. Draw the relationship between portfolio standard deviation and number of stocks.

7. Explain this statement: theoretically the risk of a portfolio of risky securities could be zero.

8. Draw and describe the efficient frontier of Markowitz.

9. Explain the contribution of Tobin.

10. What is the Sharpe ratio?

If you need help, please revise Chapter 7 of the textbook.